

**COMMONWEALTH OF THE BAHAMAS
IN THE COURT OF APPEAL
MCCrApp. No. 114 of 2021**

B E T W E E N

THE COMMISSIONER OF POLICE

Intended Appellant

AND

RICARDO QUINCY JONES

Intended Respondent

BEFORE: **The Honourable Sir Michael Barnett, P
The Honourable Mr. Justice Isaacs, JA
The Honourable Madam Justice Bethell, JA**

APPEARANCES: **Ms. Darnell Dorsette, Counsel for the Intended Appellant

Ms. Krysta Mason-Smith, Counsel for the Intended Respondent**

DATES: **2 December 2021; 2, 15 February 2022; 17, 18, 31 March 2022; 6
April 2022; 18 July 2022**

Criminal appeal – Extension of time – Attempted exportation of restricted goods - Concealing the proceeds of crime - Removing the proceeds of crime – Money laundering - Section 114 of the Customs Management Act – Section 83 of the Penal Code – Sections 2, 8 and 9 of the Proceeds of Crime Act - Exchange Control Regulations

On 2 November 2018, plain clothes officers at the Departure Lounge of the Lynden Pindling International Airport observed a male who aroused their suspicions. The male was the intended respondent. One of the officers checked his boarding pass and noted a bag tag thereon. The

intended respondent and his bag were taken to the police station. \$100,480.00 in US currency and \$580.00 in Bahamian currency was found in the bag. The intended appellant was charged with attempted exportation of restricted goods, concealing the proceeds of crime and removing the proceeds of crime. At the close of the Prosecution's case, counsel for the intended respondent made a submission of no case to answer. The Magistrate acceded to that submission; acquitted the intended respondent and ordered that all funds be returned to him with immediate effect.

The intended appellant now seeks an extension of time within which to appeal the Magistrate's decision to acquit the intended respondent of the offences.

Held: application dismissed. Decision of the Magistrate acquitting the intended respondent on all counts is affirmed. Funds seized by the police must be returned to the intended respondent forthwith.

The factors to be considered on an extension of time application are length of the delay, reasons for the delay, prospects of success and prejudice, if any, to the intended respondent. The length of the delay in the present case is just over nine weeks. The reason for the delay appears to be oversight. This is not a reasonable explanation.

Relative to prospects of success, count 1 (attempted exportation of restricted goods) was laid pursuant to the Customs Management Act, Ch. 293 (CMA). Counsel for the intended respondent argued that the CMA was repealed by the Customs Management Act, 2011 (the 2011 Act). Section 358 of the 2011 Act repealed the CMA. This point was eventually conceded by counsel for the intended appellant. There is no prospect of success relative to count 1.

Relative to counts 2 (concealing the proceeds of crime) and 3 (removing the proceeds of crime), counsel for the intended appellant submits that the Magistrate applied the wrong test to the no case submission. The intended respondent submits that only a declaration was required as the intended respondent was traveling to Trinidad, not the United States, and there is no preclearance agreement between these countries. However, the intended respondent was not charged with failure to declare.

The Magistrate failed to focus on the offences found in counts 2 and 3 and to concern himself with the real issues he was expected to consider and determine. Instead, he concentrated on the breadth of the restrictions imposed on the possession of foreign currency and the possibility that every Bahamian would run afoul of the Exchange Control Regulations on the Prosecution's case. In so doing he failed to render a reasoned decision on counts 2 and 3. The issues raised in relation to both counts has, therefore, been left unresolved.

For a person to be convicted for the offence of money laundering pursuant to section 9 of the Proceeds of Crime Act, 2018 it is necessary for the Prosecution to lead sufficient evidence for a magistrate to find that there are enough objective factual circumstances extant to prove beyond a reasonable doubt that the offence has been committed by the defendant. In the present case, more evidence was needed to have been led before an inference could be drawn that the intended respondent was engaged in money laundering.

There is no prospect of success relative to counts 2 and 3; and having regard to the concession made in relation to count 1 the application for leave to extend the time within which to appeal is refused.

Alexander Williams v Regina SCCrApp No. 155 of 2016 mentioned
Commissioner of Police v Stephen Kerr et al Criminal Appeal Nos. 18, 19 and 20 of 2000 mentioned
Gellizeau v State (2017) 91 WIR 301 considered
Glenroy Williams v Commissioner of Police No.62 of 1987 considered
Muneka v Comrs of Customs and Excise [2005] EWHC 495 (Admin) considered
Nevin v Customs and Excise [1995] Lexis Citation 4353 mentioned
Practice Direction (Submission of no case) [1962] 1 WLR 227 considered
R v Stocker [2013] EWCA Crim 1993 mentioned
R v Taylor, Weaver and Donovan (1930) 21 Cr App Rep 20 considered
Raleigh Seymour v The Commissioner of Police MCCr.App. Nos. 83 and 85 of 2013 considered
Riley v Barran [1965] 8 WIR 164 mentioned
The Attorney General v Earl Randolph Fraser SCCr.App. No. 13 of 2007 considered
The Attorney General v Omar Chisholm MCCrApp No. 303 of 2014 mentioned
The Commissioner of Police v Terry Murray [2008] 5 BHS J. No. 77 mentioned

J U D G M E N T

Judgment delivered by the Honourable Mr. Justice Isaacs, JA:

1. The intended appellant applies to the Court for an extension of the time within which to appeal pursuant to section 14(1) of the Court of Appeal Act ("EOT application"), against the decision by Senior Magistrate Derrence Rolle-Davis ("the Magistrate") to acquit the intended respondent of the offences of: 1) Attempted Exportation of Restricted Goods, contrary to the conditions regulating the exportation thereof imposed by regulation 20 of the Exchange Control Regulations contrary to section 114(c) of the Customs Management Act, Ch. 293 and section 83(2) of the Penal Code; 2) Concealing of Proceeds of Crime, contrary to section 9(1)(a) of the

Proceeds of Crime Act, 2018 ("the PCA 2018") and punishable under section 15(1)(a) of the PCA 2018, and 3) Removing the Proceeds of Crime, contrary to section 9(1)(e) of the PCA 2018 and punishable under section 15(1)(a) of the PCA 2018, at the close of the Prosecution's case.

Background

2. The evidence that had been led before the Magistrate disclosed that on 2 November 2018, sometime around 1:00p.m., Police Officers Sergeant 1426 Flowers ("Flowers") and Corporal 2538 Ranger were on special duty clad in plain clothes in the Departure Lounge at the Sir Lynden Pindling International airport when they observed a male who aroused their suspicions. The officers approached the male who gave his name as Ricardo Quincy Jones, the intended respondent. Flowers inspected the intended respondent's boarding pass for Caribbean Airlines' flight to Port of Spain, Trinidad. The intended respondent said he "had one checked bag or one set of bags". Flowers is unsure as to which one the intended respondent said; but observed that he had a tag. Flowers collected a bag to which was attached a name tag bearing the intended respondent's name. The intended respondent and the bag were taken to a police station.
3. At the station, Flowers showed the bag to the intended respondent and asked if it was his. The intended respondent said yes. Flowers opened the bag and on checking it, found a pink multi-coloured bag inside. He took the bag out and inspected it. Flowers testified that:

"...A cloth lining was in the bag and the bottom was inspected. There was a white substance believed to be glue. There was a large sum of money, US dollars. I asked him if it was his; he said yes. He said he didn't know how much it was, though. I arrested him for possession of the proceeds of crime and exportation of a prohibited good.

The sum collected by Corporal 3317 Turnquest and myself was \$101,038 (sic)."

4. Under cross-examination by Mr. Murrio Ducille, Counsel for the intended respondent, Flowers said, inter alia:

"When I questioned him, he said he was going to Suriname. I am not certain if it is in my report. No, I didn't charge him for the proceeds of crime. But proceeds of crime is what I arrested him for. I believe if you have a large sum of US dollars, I believe that to be a crime. And he had his documents in his hands, nothing else. He chose to answer me, you know. I don't know the origin of the money. And, no, I didn't ask him where he got it from.

And I don't even know where the money is now. I know that to have a large sum of money without authorization, it is a new law I think in 2018, but I don't know for sure. I didn't know the defendant before that day. No, I didn't do no investigation as to the source of the money. I don't know. I did not see him doing anything unlawful, though, no. I don't know if it is in fact proceeds of crime."

5. Chief Investigating Officer of the Financial Crimes Investigation Branch, Sergeant 3317 Jared Turnquest (referred to as "Garret Turnquest" by the Magistrate), went to the Airport Police Station where he spoke with officers and received: **"a package from Officers Ranger and Flowers: a luggage and a ticket that showed connecting flights and a passport in the name of Ricardo Jones and a mix of cash with US and Bahamian currency."** The money was counted and amounted to \$101,480 (sic). \$100,480 in US currency and \$580 in Bahamian currency. The intended respondent and the items received were taken to the Criminal Detective Unit ("CDU").
6. Sergeant Turnquest interviewed the intended respondent. Although lengthy, I reproduce portions of Sergeant Turnquest's interview with the intended respondent:

"Q10 I have information that you were at the Sir Lynden Pindling International Airport today November 2nd 2018 around 1pm. is that correct?

A10 Make no comment.

...

Q17 Who were you travelling with yesterday?

A17 No comment.

...

Q19 I have information that while at the Sir Lynden Pindling Airport today around 1pm your bag with the corresponding luggage ticket was searched by the police, is that true?

A19 No comment

Q20 I also have information that while searching your luggage bag, officers discovered \$101,038 cash, 100,458 in US currency and \$580 in Bahamian currency. What do you have to say to that?

A20 No comment

Q21 Where did you get that money from Mr. Jones?

A21 No comment

Q22 Who gave you that money Mr. Jones?

A22 No comment

Q23 Did you get authorization from the Central Bank to carry that cash with you before you travelled?

A23 No comment

Q24 Did you obtain permission or authorization from the Comptroller of Customs to leave the country with that cash?

A24 No comment

Q25 When officers at the airport asked you if you had any checked luggage what did you tell them?

A25 I told them I did

Q26 Was the money found in that checked bag?

A26 No comment

Q27 Was anyone else travelling with you?

A27 No

Q28 What were you going to do with that cash, the \$101,038.00

A28 No comment

Q29 How long were you planning on travelling or staying in Suriname?

29A I'm not sure. I was on vacation

Q30 Who does that money, \$101,038 belong to?

A30 No comment

Q31 Did you pack your luggage bag?

A31 No comment

...

Q40 Have you ever travelled to Suriname before?

A40 No comment

Q41 Do you wish to give a statement under caution explaining how the cash wound up in your luggage?

A41 No comment

Q42 I put it to you that the \$101,038.00 cash found in your luggage [represents] the proceeds of criminal conduct. What do you have to say to that?

A42 No comment

Q43 I put it to you that you were attempting to export that \$101,038.00 cash out of the Commonwealth of The Bahamas without obtaining the necessary permission from the Comptroller of Customs. What do you have to say to that?

A43 No comment

Q44 I put it to you that the cash found in your luggage belongs to someone else and you were transporting it for them. What do you have to say to that?

A44 No comment

Q45 How much were you paid to transport the \$101,038.00 cash to Suriname?

A45 No comment

Q46 Who paid for your ticket to travel?

A46 No comment"

7. The intended respondent read over the questions and answers to ensure as Sergeant Turnquest told him, **"that you said those exact words"**. Thereafter, the intended respondent signed and dated the interview form; and inserted the time. Underneath that, there appeared what was apparently, a follow up question:

"Where were you planning on staying in Suriname?

No comment"

This question was not initialed or signed by the intended respondent.

8. Under cross-examination Sergeant Turnquest said, inter alia:

"...The proceeds as it relates to proceed (sic) of crime, I asked him of the source of his funds. He didn't answer me.

The Act speaks to the source. I can make suggestions as to the source, but I have no conclusion. The income of Ricardo Quincy Jones is the means. Whether or not they were legitimate means as to how he got that amount of cash, I don't know."

- 9. Assistant Manager of the Exchange Control Department of the Central Bank of The Bahamas, Kimberley Thurston gave evidence during the trial and testified that the Department had not issued any approval for conversion of foreign currency at a commercial bank in reference to the intended respondent. When questioned by Mr. Ducille, Mrs. Thurston said that permission is required for foreign currency to be taken out of The Bahamas.**
- 10. When the Prosecution closed their case, Counsel for the intended respondent submitted that the Prosecution had failed to make out a prima facie case against the intended respondent. The Magistrate agreed; and in his ruling said:**

"This case involves the charge of 'Attempted Exportation of restricted Goods on (sic) breach of the Exchange Control Regulations & Customs Management Ach (sic) Chapter 293.

The Prosecution is alleging that the Defendant attempted to export foreign currency which is described in the Act as any currency notes other than that of B\$ 1(4) (A) Exchange Control Reg. Chp. 360. This Court notes that this Section refers to "Dealing in Gold and Foreign Currency." Dealings within the Act Specifies—buy or borrow, sell or lend to any person other than an authorized dealer. S.20(1)(a) legal tender in U.K. or any other territory is prohibited without permission of the Comptroller.

The Defendant was not in the U.K. or in a U.K. territory. He was within The Bahamas. He was headed to Port of Spain, Trinidad and Tobago; Independent since 1962 and is not a U.K. territory.

The Court is of the view that if the Prosecution was to be accepted as being correct that no person can have on their person U.S. or Bah\$ without the permission of the Comptroller of Customs or the

Central Bank Exchange Control all Bahamians would be guilty of this offence and would therefore be an oddity in the law. Legal Tender in the Bank would be in contravention of the oufftits (sic) of the law and we will all run afoul. Goods and currency is dist. (sic) The Court is satisfied that the Defendant committed no offence to have on his person the sum and there was no breach to carry the funds to Trinidad and no declaration was or is required by this section 20(1) Exchange Control Regulations or 114©(ii) (sic). Therefore it follows that no proceeds of Crime established.

The Court acquits the Defendant of these charges and orders that all funds be returned to him with immediate effect"

Extension of Time Within Which to Appeal

11. The decision of the Magistrate was delivered on 30 June 2021, but the intended appellant did not file their EOT application until 14 September 2021. As per section 235(2) of the Criminal Procedure Code ("the CPC"), the intended appellant was required to appeal the Magistrate's decision within seven days after 30 June 2021. The proviso to sub-section (2) of section 235 does give the Court the power to extend the time for appealing.
12. The Court has on numerous EOT applications enumerated the factors to be considered on an EOT application. They are: the length of the delay; the reasons for the delay; the prospect of success of the intended appeal; and the prejudice, if any, to the respondent. See, for example, **Alexander Williams v Regina** SCCrApp No. 155 of 2016; and **The Attorney General v Omar Chisholm** MCCrApp No. 303 of 2014.

Length of Delay

13. I have calculated the delay in this case to be that period commencing on 9 July 2021 and ending on 14 September 2021, as some nine weeks and one day. This is a long, but not an inordinately long, period of time.

Reason for Delay

14. The intended appellant sought to explain why the appeal was not filed in time by the provision of an affidavit sworn to by Ms. Tommel A. Roker, a Prosecutor, in the Office of the Director of Public Prosecutions; but I have not been able to discern what that reason is other than there was an oversight. Paragraphs 5 and 6 state:

" 5. That a Notice of Intention to Appeal was filed in the Magistrate's Court on the 1st July, 2021.

6. That subsequent to the filing of the said Notice of Appeal in the Magistrate's Court the Notice of Appeal was not file (sic) in the Magistrate's Court as a result of an oversight."

I am unable to find that there has been a reasonable explanation proffered for the delay in this case.

Prospect of Success

- 15.** Ms. Dorsette, counsel for the intended appellant, submitted that the Prosecution had adduced sufficient evidence for the Magistrate to call upon the intended respondent to answer their case. In support of this position, she cited a decision of this Court, differently constituted, in **Commissioner of Police v Stephen Kerr et al** Criminal Appeal Nos. 18, 19 and 20 of 2000. Thus, she argued, the proposed appeal stands a good prospect of success. I suppose this submission related to count 1; hence I approach the issue in that belief.
- 16.** However, during the hearing before us, Ms. Mason-Smith, counsel for the intended respondent, threw the intended appellant a curve ball when she raised a point in limine pertaining to section 114(c) of the Customs Management Act, Ch. 293 ("the CMA"), the Act under which the first charge is laid. Her submission was simple but, in my view, fatal to count 1 (attempted exportation of restricted goods). She argued that the CMA had been repealed by, No. 30 of 2011, the Customs Management Act, 2011 ("the 2011 Act"), which had come into force on 1 July 2013. As a consequence, section 114(c) of the CMA was not the correct section under which the intended respondent could be charged.
- 17.** The long title of the CMA, 2011 provides, inter alia, **"...To repeal the Customs Management Act, Chapter 293...."**. Further, section 358 of the CMA, 2011 provides:

"358. Repeals.

This Act repeals -

(a) the Customs Management Act (Ch. 293) and other existing Customs legislation;.."

- 18.** Inasmuch as the offence set out in the charge sheet as count 1 is alleged to have been committed against a repealed statute, that count is null and void; and could not support a finding of guilt by the Magistrate. Thus, he was not in error when he concluded at the close of the Prosecution's case, that the Prosecution had failed to make out a prima facie case; and the intended respondent had no case to answer, albeit for an entirely different reason than that found by the Magistrate.

19. Ms. Dorsette endeavoured to support her submission that the Magistrate was wrong to dismiss count 1 on the no case to answer submission; but ultimately conceded that count 1 could not be sustained.
20. I find that her concession was properly made. See **R v Stocker** [2013] EWCA Crim 1993 and the cases cited therein. Thus, ground 1 has no likely prospect of success.

The Proceeds of Crime Counts

21. Notwithstanding, the view taken in respect of the Magistrate's decision on count 1, there still remained the other two counts: Concealing of Proceeds of Crime, contrary to section 9(1)(a) of the PCA 2018 and punishable under section 15(1)(a) of the PCA 2018, and Removing the Proceeds of Crime, contrary to section 9(1)(e) of the PCA 2018 and punishable under section 15(1)(a) of the PCA 2018; neither of which count had been considered and addressed by the Magistrate although the Magistrate had included counts 2 and 3 in his decision to discharge the intended respondent. The particulars of the two counts were:

"2. That you on Friday 2nd November 2018 at New Providence acting with knowledge or reasonable suspicion did conceal the amount of One Hundred, and One Thousand, thirty eight dollars (\$101,038.00) cash which represents the proceeds of crime.

3. That you on Friday 2nd November, 2018 at Lynden Pindling International Airport, New Providence acting with knowledge or reasonable suspicion, did attempt to remove proceeds in the amount of One Hundred and One Thousand Thirty Eight Dollars (\$101,038.00) cash from the Bahamas."

Relevant Statutory Provisions

22. In section 2 of the PCA "'Criminal conduct" means conduct relating to the commission of any offence;"; and "proceeds" and "proceeds of crime" means:

"...any funds or property derived from or obtained, directly or indirectly, as a result of or in connection with the commission of any offence, including economic gains and funds or property converted or transformed, in whole or in part, into other funds or property; and it is immaterial -

(a) who carried out the criminal conduct;

(b) who benefitted from it;

(c) whether the criminal conduct occurred before or after the passing of this Act;"

23. Section 9(1)(a) and 9(1)(e) of the PCA 2018 states:

"Concealing.

(1) A person commits an offence of money laundering if acting with knowledge or reasonable suspicion he -

(a) conceals the proceeds of any crime;

...

(e) removes the proceeds of any crime from The Bahamas."

24. Sub-section (2) of section 9 provides:

"9. (2) For the purposes of this section -

(a) concealing or disguising criminal property includes concealing or disguising its nature, source, location, disposition, movement or ownership or any rights with respect to it; and

(b) concealing or disguising the proceeds of crime also includes the proceeds of any identified risk activity."

25. Section 8 of the PCA, 2018 bears the rubric: "Proof of Money Laundering"; and is found under a general heading: "Money Laundering". It states as follows:

"8. Proof of money laundering.

For the purpose of this Part

(a) no conviction for an offence shall be necessary to prove that the property is directly or indirectly the proceeds of crime, nor shall it be necessary to prove that a specific offence has been committed by any person;

(b) knowledge, suspicion, intent or purpose may be inferred from objective factual circumstances.
[Emphasis added]

26. Section 2 of the PCA 2018 provides the definition for "proceeds" and "proceeds of crime"; and I reiterate:

"proceeds" and "proceeds of crime" means any funds or property derived from or obtained, directly or indirectly, as a result of or in connection with the commission of any offence, including economic gains and funds or property converted or transformed, in whole or in part, into other funds or property; and it is immaterial

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- (a) who carried out the criminal conduct;**
- (b) who benefitted from it;**
- (c) whether the criminal conduct occurred before or after the passing of this Act;"**

Intended Appellant's Case

27. Ms. Darnelle Dorsette submitted that the Magistrate erred in acceding to the no case to answer submission made on the intended respondent's behalf because the test he applied to arrive at his decision was not the correct test. She relied on section 203 of the CPC and an array of cases that included **The Attorney General v Earl Randolph Fraser** SCCrApp. No. 13 of 2007, **Raleigh Seymour v The Commissioner of Police** MCCrApp. Nos. 83 and 85 of 2013 and **The Commissioner of Police v Terry Murray** [2008] 5 BHS J. No. 77.

28. Section 203 of the CPC provides as follows:

"203. At the close of the evidence in support of the charge, the court shall consider whether or not a sufficient case is made out against the accused person to require him to make a defence, and if the court considers that such a case is not made out the charge shall be dismissed and the accused forthwith acquitted and discharged." [Emphasis added]

29. An exposition as to what amounts to "a sufficient case" may be found in the judgment of Osadebay, JA in **Fraser**. The defendant had been charged with sexual offences arising out of an allegation that over a period of time he had had sexual intercourse with the minor virtual complainant. At his trial, following the presentation of the Prosecution's case, which included evidence that semen had been found in his office at the church, a no case to answer submission was made on his behalf. While acceding to the submission, the magistrate stated, inter alia:

"3. ...

'Outside of what the virtual complainant alleges, there is nothing to connect the defendant to these allegations. There is no corroboration of her

allegations from any physical evidence or any expert testimony.

In addition, the complainant's evidence is contradicted in certain regards by other witnesses, particularly the grandmother.

In the circumstances, the Court is of the opinion that it would be unsafe to convict the defendant based on such evidence or lack thereof and, therefore, upholds Defence Counsel's No case submission and rules that the defendant has no case to answer.'" [Emphasis added]

30. On the appeal by the Prosecution against the magistrate's decision, the Director of Public Prosecutions, Mr. Bernard Turner (as he then was), submitted that:

"5. ...the learned Magistrate's reason for discharging the respondent as contained in her decision demonstrated that she did not consider the correct legal standard on a no case to answer submission, which is found in section 203 of the [CPC]..."

Mr. Turner also alluded to the above underlined portion of the magistrate's ruling and submitted that the magistrate had:

"6. ...placed an incorrect legal burden on the prosecution at a no case to answer stage, as it was not a requirement that the evidence of the virtual complainant in this case must be corroborated as a matter of law. ... even at the end of such a case, a court in the circumstances could convict on the uncorroborated evidence of a virtual complainant."

31. At paragraph 8 of his decision, Osadebay, JA said:

"8. The guiding principles and factors which a Magistrate conducting a criminal trial should take into consideration (or a judge for the matter on a trial on an indictment) in discharging that obligation under section 203 of the Criminal Procedure Code have been succinctly stated in a number of cases: see: Marlon Henfield v. Commissioner of Police, Criminal Appeal No. 3 of 2007, Bahamas Court of Appeal (unreported); R. v. Galbraith, 73 Cr. App. R. 124; R. v. Shippey [1998] Crim. L.R. 767."

32. Osadebay, JA concluded at paragraph 22 as follows:

"22. After a careful examination of the record we found nothing from which it could reasonably be concluded that (1) there was no evidence to prove an essential element in the alleged offence or (2) that the evidence adduced by the prosecution was so discredited as a result of cross-examination or was so manifestly unreliable that no reasonable tribunal could safely convict on it."

and at paragraph 23, that:

"23. ... the learned Magistrate failed to properly analyze the evidence and apply the correct legal standard when she ruled that the respondent had no case to answer..."

33. In **Raleigh Seymour**, the appellants had been convicted of possession of dangerous drugs with intent to supply. They appealed; and one of their grounds was that the magistrate had erred in law when she called upon them to answer a case. The Court, differently constituted, dismissed their appeals. While discussing the manner in which magistrates should approach a no case to answer submission, Allen, P. referred to the authorities of **R v Galbraith** [1981] 1 WLR 1039 and the **Practice Direction (Submission of no case)** [1962] 1 WLR 227 and compared the differences in approach between Lord Parker's guidance to magistrates and the English Court of Appeal's guidance to judges sitting in jury trials. At paragraph 23 of her judgment, Allen, P. referred to the discussion on the matter by the authors of the 1999 Blackstone's Criminal Practice who said at paragraph D19.8:

"Nonetheless, the broad thrust of Lord Parker's Practice Direction - as of the judgment in Galbraith - is that, assuming the necessary minimum amount of prosecution evidence has been adduced so as to raise a case on which a reasonable tribunal could convict, the magistrates should allow the trial to run its course rather than acquitting on a submission."

See also **Terry Murray** and **Riley v Barran** [1965] 8 WIR 164.

Intended respondent's Case

34. Ms. Mason-Smith's written submissions filed on 15 March 2022, only addressed the intended appellant's prospects of success as follows:

"There is no likelihood of success of the Appeal by the Intended Appellant as the Intended Respondent was travelling to Trinidad and not to the United States of America, where there is (sic) U.S., Bahamian pre-clearance agreement in which case all he had to do was to make a declaration."

35. With due respect to Ms. Mason-Smith's submission, the intended respondent was not charged with failing to declare the funds. Thus, any reference to the United States of America and The Bahamas Preclearance Agreement Act is misconceived.
36. The relevant provisions of the PCA 2018 in this appeal are section 2, section 9(1)(a) and section 9(1)(e) of the PCA 2018.

Discussion

37. In the **Practice Direction** cited above, Lord Parker CJ, sitting in the English Queen's Bench Division, delivered the decision of that court and provided guidance to magistrates faced with no case to answer submissions. He said:

"Those of us who sit in the Divisional Court have the distinct impression that justices today are being persuaded all too often to uphold a submission of no case. In the result, this court has had on many occasions to send the case back to the justices for the hearing to be continued with inevitable delay and increase expenditure. Without attempting to lay down any principle of law, we think that as a matter of practice justices should be guided by the following considerations.

A submission that there is no case to answer may properly be made and upheld: (a) when there has been no evidence to prove an essential element in the alleged offence; (b) when the evidence adduced by the prosecution has been so discredited as a result of cross-examination or is so manifestly unreliable that no reasonable tribunal could safely convict on it.

Apart from these two situations a tribunal should not in general be called on to reach a decision as to conviction or acquittal until the whole of the evidence which either side wishes to tender has been placed before it. If, however, a submission is made that there is no case to answer, the decision should depend not so much on whether the adjudicating tribunal (if compelled to do so) would at that stage convict or acquit but on whether the evidence is such that a reasonable tribunal might convict. If a reasonable tribunal might convict on the evidence so far laid before it, there is a case to answer."

38. Although I have already set out the Magistrate's ruling, it is necessary for me to reproduce the following extract from the Magistrate's ruling to perform an analysis of the Magistrate's reasoning so as to make it pellucidly clear how it is that he came to fall into error. The Magistrate said, inter alia:

"The Court is of the view that if the Prosecution was to be accepted as being correct that no person can have on their person U.S. or Bah\$ without the permission of the Comptroller of Customs or the Central Bank Exchange Control all Bahamians would be guilty of this offence and would therefore be an oddity in the law. Legal Tender in the Bank would be in contravention of the outfits (sic) of the law and we will all run afoul. Goods and currency is dist. (sic) The Court is satisfied that the Defendant committed no offence to have on his person the sum and there was no breach to carry the funds to Trinidad and no declaration was or is required by this section 20(1) Exchange Control Regulations or 114©(ii) (sic). Therefore it follows that no proceeds of Crime established."

39. The Magistrate has failed to focus on the offences found in counts 2 and 3 and to concern himself with the real issues he was expected to consider and determine. Instead, he concentrated on the breadth of the restrictions imposed on the possession of foreign currency and the possibility that every Bahamian would run afoul of the Exchange Control Regulations on the Prosecution's case. In so doing, he failed to render a reasoned decision on counts 2 and 3 thereby erring in law as he was required to give consideration to all three of the counts on the no case to answer application; and to render a decision on all three. The failure to properly adjudicate on counts 2 and 3 has left the issues raised in relation to both counts unresolved.

The Way Forward

40. What should the Court do about the two remaining counts? In arriving at a decision whether to remit the matter to the Magistrate to continue with the trial, I bear in mind that our islands and banks were used by international criminals in the illegal business of the transshipment of dangerous drugs and the warehousing of the money derived from that activity in our financial institutions. The Proceeds of Crime Act 2000 - and this would include the later Acts replacing it - was a part of a compendium of legislation aimed at addressing money laundering; but it also had the additional purpose of combating international narcotics dealers, the drug trade terrorists and their financiers by striking at their funds. The PCA 2018 and its predecessors was intended to strike criminals where it hurts, in their pockets. It was meant to deprive them of the obscene amounts of money derived from their illegal activities and to make the prospect of living a lavish lifestyle less likely.

41. As noted at paragraph 25 herein, Parliament enacted section 8 of the PCA 2018, which reads:

"8. Proof of money laundering.

For the purposes of this Part

(a) no conviction for an offence shall be necessary to prove that the property is directly or indirectly the proceeds of crime, nor shall it be necessary to prove that a specific offence has been committed by any person;

(b) knowledge, suspicion, intent or purpose may be inferred from objective factual circumstances."

42. There were occasions when persons were found in possession of large sums of money, most often United States currency, without being able to give a reasonable account as to its provenance. Given the twin rights of the presumption of innocence and the right to remain silent, the ability of law enforcement to combat crime would be severely hamstrung but for what Parliament sought to accomplish by the enactment of section 8 of the PCA 2018, to wit, create aids for the prosecution of money laundering offences.

43. I make reference to the decision of Gonsalves- Sabola, J (as he then was) in **Glenroy Williams v Commissioner of Police** No.62 of 1987, a drug possession case, where at page 2 he made the observation:

"Now, the prosecution could have succeeded in proving that the appellant was in possession of the drugs by either direct or circumstantial evidence. There was no direct evidence that the appellant put the cocaine under the trash bin or even touched it. Reliance therefore had to be placed on circumstantial evidence. Proof of guilt by such evidence must amount to something more than suspicion. Suspicion upon suspicion is not proof. Even the fact that suspicion in a particular case may be reasonable does not per se relieve the prosecution of the burden of showing that no other reasonable inference than guilt of the offence charged is possible." [Emphasis added]

44. The statement that suspicion is not proof is generally the law. However, Parliament has seen fit to derogate somewhat from that principle in section 8 of the PCA 2018. I say "somewhat" because a bare suspicion without more is not sufficient to prove the offence of money laundering. There must exist circumstances from which the commission of the offence may be inferred.

45. For the purpose of evaluating the effect of section 8 of the PCA 2018, it may be helpful to examine similar legislation in other jurisdictions.

46. Section 5 of the Barbados Money Laundering and Financing of Terrorism (Prevention and Control) Act, 2011 - 23 ("the BMLFT") provides a definition for money laundering:

"5. (1) A person engages in money laundering where

(a) the person engages, directly or indirectly, in a transaction that involves money or other property or a benefit that is proceeds of crime; or

(b) the person receives, possesses, conceals, disposes of, or brings into or sends out of Barbados any money or other property or a benefit that is proceeds of crime.

(2) For the purposes of this section, a person engages in money laundering where he knows or has reasonable grounds to suspect that the property or benefit is derived or realised directly or indirectly from some form of unlawful activity or, where the person is

(a) an individual other than a person referred to in paragraph (b), where he fails without reasonable excuse to take reasonable steps to ascertain whether or not the property or benefit is derived or realised, directly or indirectly, from some form of unlawful activity; or

(b) a financial institution or a non-financial business entity or professional, where the financial institution or non-financial business entity or professional fails to take reasonable steps to implement or apply procedures to control or combat money laundering."

47. Section 6(3) of the BMLFT states:

"6. (3) Where a person is charged with an offence under this section and the Court is satisfied that the property in his possession or under his control was not acquired from income derived from a legitimate source, it shall be presumed, unless the contrary is proved, that the property was derived from the proceeds of crime."
[Emphasis added]

48. It may be noted that section 6(3) of the BMLFT places an evidential burden on a defendant to prove the property was not derived from a criminal/unlawful activity once the admissible evidence suggests it did not come from a legitimate source. It is also worth noting, that Barbados has an income tax regime that may enable the authorities to compare a person's realisable income with the lifestyle they appear to enjoy to demonstrate beyond a reasonable doubt that the person is engaged in money laundering.
49. In **Muneka v Comrs of Customs and Excise** [2005] EWHC 495 (Admin) involved an application made for the forfeiture of £22,760 cash found in the possession of the appellant at Heathrow Airport as he was about to leave the country. The application was made pursuant to section 298 of the Proceeds of Crime Act 2002. The district judge found that the appellant had lied not only as to the source of the money, but as to its intended use, in other words, its destination. It is accepted that the standard of proof in this case was on a balance of probabilities but Moses, J took the view at paragraph 12 of his decision that: **"The lies in the context of the issue may well establish that the source of the money is criminal activity."**

See also **Nevin v Customs and Excise** [1995] Lexis Citation 4353.

50. In **Gellizeau v State** (2017) 91 WIR 301, the Court of Appeal of the Eastern Caribbean Supreme Court ("the CAECSC") considered the appeal of a man convicted of two counts of money laundering: (a) concealing the proceeds of criminal conduct, contrary to s 41(1)(a) of the Proceeds of Crime and Money Laundering (Prevention) Act 2001 ("the PCMLPA"), and (b) transferring the proceeds into St Vincent and the Grenadines, contrary to s 41(1)(b) of the Act. The head note reveals that a large sum of money was found by the St. Vincent and Grenadines coastguard hidden on a yacht called "The Jotobin", docked off the coast off a Grenadian island. The appellant was convicted of the offences with which he was charged and:

"...appealed against his conviction to the Court of Appeal of the Eastern Caribbean Supreme Court, the main thrust of his appeal being (i) that the Chief Magistrate had erred in holding that the prosecution did not have to prove that the money found came from a precise source or crime, or the predicate offence[.] The appellant further appealed on the grounds that the Chief Magistrate had erred in (ii) failing to uphold the no case submission made on behalf of the appellant ..."

51. The CAECSC dismissed the appeal. Blenman, JA, in delivering the decision of the court held, inter alia, at paragraphs 27 and 35:

"[27] It is clear to me that Bholah recognises that it is not essential to prove a predicate offence. As stated earlier I have no reservation in accepting that the POCA 2002 is as all-encompassing as ss 41(1)(a) and 41(1)(b) of the PCMLPA. Mr Peterson SC submitted that the Chief Magistrate quite correctly held that once the prosecution produces cogent circumstantial evidence from which the

proper inferences can be drawn to the required criminal standard that the property in question are the proceeds of his crime, it will suffice to secure a conviction. Mr Peterson SC argued that the Chief Magistrate correctly applied the law in holding that there is no need to show or to particularise the offence or offences which generated the proceeds of crime. Elaborating further, Mr Peterson SC maintained that there is nothing in s 41(1)(a) or s 41(1)(b) of the PCMLPA that requires proof of the predicate offence. I am in total agreement with these propositions. The legislature in St Vincent and the Grenadines in its wisdom did not stipulate that in order to succeed in the prosecution of a money laundering offence there is the need for the prosecution to establish the provenance offence. There is great wisdom in not so requiring since as the Chief Magistrate explained and with which I agree 'the aim of money laundering is to obscure and disguise the origin of the money so that criminals are able to use it without being connected to the criminal activity from which it is generated'. The learned Chief Magistrate opined that due to the very nature of the offence, very rarely would it lend itself to the existence of direct evidence of any specific criminal conduct. 'The Court is therefore allowed to infer this from all of the circumstantial evidence that is presented.

...

[35] By way of emphasis, I have no doubt that the legislature in the (sic) St Vincent and the Grenadines, in its wisdom, did not require the prosecution to prove criminal conduct by establishing that the offender specifically was involved in drug trafficking or in any other specific criminal offences. The learned Chief Magistrate was correct in not reading any such requirements into the relevant statutory provisions. I also agree with the Chief Magistrate that the interpretation that was argued for by the defence would restrict the operation of the legislation and I would add may well make it unworkable contrary to the clear intention of Parliament. From all that I have said, there is no doubt in my view that there is no requirement to establish a provenance offence. The Chief Magistrate did not err in so holding. Accordingly, the first ground of appeal fails."

52. Section 41 of the PCMLPA states as follows:

"41. (1) A person commits an offence if he

(a) conceals or disguises any property which is, or in whole or in part directly or indirectly represents, his proceeds of criminal conduct, or

(b) converts or transfers that property, brings it into or removes it from Saint Vincent and the Grenadines;

for the purpose of avoiding prosecution for a drug trafficking or relevant offence or the making or enforcement in his case of a confiscation order."

53. "Criminal conduct" is defined in section 2 of the PCMLPA as drug trafficking or any relevant offence.

54. "Relevant offence" is also defined in section 2, as follows:

"(a) any indictable offence or an offence triable both summarily or on indictment in Saint Vincent and the Grenadines from which a person has benefited as defined in section 7(3) of this Act, other than a drug trafficking offence;

(b) any offence listed in Schedule 2 to this Act;

(c) any act or omission which, had it occurred in Saint Vincent and the Grenadines, would have constituted an offence as defined in paragraph (a) or paragraph (b)."

55. What is significant about the circumstances in **Gellizeau**, is the breadth of the investigation conducted by the authorities into the affairs of Mr. Gellizeau in support of their case. At paragraph 4 of the judgment it is stated, inter alia, that:

"4. ...Mr Gellizeau was charged with concealing and bringing into St Vincent and the Grenadines his own proceeds of criminal conduct and his co-defendants were charged with concealing and bringing into St Vincent and the Grenadines another person's proceeds of crime, namely, Mr Gellizeau. Mr Gellizeau, in his caution statement, denied ownership of the Jotobin, close

association with his co-defendants and importantly the large sum of money recovered from the Jotobin. However, financial investigations and the evidence that was led revealed that the Jotobin was sold to Mr Gellizeau and his relatives and colleagues testified about conducting large financial transactions in United States dollars at his request and for his benefit. Also, the prosecution called several witnesses and relied on a forensic accounting report, communication data (Digicel and LIME), forensic phone analyses and reports (cell phone and PDA data), business records and customs documents in amassing circumstantial evidence to prove their case against Mr Gellizeau..."

56. Further along in the judgment at paragraphs 18 and 19 the appellant's Counsel accepted that in addition to "vast sums of money":

"[18] ...substantial properties were found to have been owned by Mr. Gellizeau and other properties were in the names of others, at his behest...

[19] ...the very lavish lifestyle that Mr Gellizeau lived, the fact that he did not seem to have an identifiable job that would have been a source of income for that sort of lifestyle and the fact that a substantial sum of money was concealed on the Jotobin must have raised a 'red flag'..."

57. The Prosecution in **Gellizeau**, through the production of cogent evidence beyond the mere finding of a large sum of money, were able to prove their case that the defendant was engaging in the offence of money laundering. That evidence included his meagre source of income, his lavish lifestyle, his large financial transactions abroad and substantial property portfolio. The prosecution was able to demonstrate these matters by adducing into evidence a forensic accounting report, communication data (Digicel and LIME), forensic phone analyses and reports (cell phone and PDA data), business records and customs documents. This was the type of material needed to enable the court to find that the Prosecution's case was proved. The case was based on circumstantial evidence; but as the Lord Chief Justice stated in **R v Taylor, Weaver and Donovan** (1930) 21 Cr App Rep 20, "It is no derogation of evidence to say that it is circumstantial".

Discussion

58. It is readily apparent that for a person to be convicted for the offence of money laundering pursuant to section 9 of the PCA, 2018, it is necessary for the Prosecution to lead sufficient *evidence* for a magistrate to find that there are enough objective factual circumstances extant to prove beyond a reasonable doubt that the offence has been committed by the defendant.
59. The evidence led by the Prosecution showed that a part time carpenter was leaving The Bahamas en route to a foreign destination and had concealed in his luggage, over \$100,000.00. No question was asked about his wages, no investigation made into his lifestyle or any substantial assets he may own, for example properties, bank deposits, luxury vehicles or yachts. More evidence was needed before an inference could be drawn that the intended respondent was engaged in money laundering.
60. Anything less than a thorough investigation - as labourious and time consuming as that may be - cannot suffice to prove the offence of money laundering. If something less could amount to "enough objective factual circumstances" persons who save their money under mattresses or are holding "Asue" funds are all in peril of being prosecuted as money launderers.
61. There is nothing particularly sinister about a person seeking to hide the money with which he is travelling, although one may have a suspicion as to its source in the absence of any reasonable explanation as to the source. Nevertheless, as stated by Gonsalves-Sabola, J. in **Glenroy Williams: "Suspicion upon suspicion is not proof"**.
62. Parliament may have intended to create a deeming provision through the enactment of section 8 of the PCA, 2018 as was done, for example, in Barbados; but in my view, that intention has fallen far short of the mark. The apparent intent of Parliament may have been achieved if the language used in the PCA, 2018 had been in like terms to that used in, for example, sections 8A(1) and 9A(3) of the Firearms (Amendment) Act, 2011 or section 22(3) of the Dangerous Drugs Act, where the evidential burden of disproving the Prosecution's case is unambiguously stated.
63. In my view, all that section 8 of the PCA, 2018 does is to provide two aids to the prosecution of money laundering offences, but no more.

Disposition

64. There is, in my view, no prospect that the intended appellant's appeal will succeed in respect of counts two and three. On the appellant's concession pertaining to count 1, and our view of counts 2 and 3, leave to extend the time within which to appeal is refused.

65. In the circumstances, the application for leave to appeal out of time is dismissed. The decision of the Magistrate acquitting the intended respondent on all counts is affirmed. The funds seized by the police must be returned to the intended respondent forthwith.

The Honourable Mr. Justice Isaacs, JA

66. I agree.

The Honourable Sir Michael Barnett, P

67. I also agree.

The Honourable Madam Justice Bethell, JA